



ILLUSTRATION BY **RAJ VERMA**

in climate investments, but average climate finance flows have historically only been around \$44 billion per year, over 70% short.

According to Nikunj Dube, chief ratings officer at CAREEdge ESG Ratings, the global green funding gap is only widening. The shortfall, he says, does not arise from an absence of global capital, but from a profound mismatch between where capital is concentrated and where it is most urgently needed.”

India aspires to achieve net

zero emission targets by 2070, and therefore, the implications of the widening green finance gap may be existential. “Achieving net-zero will require a cumulative investment of \$10 trillion to \$22.7 trillion by 2070, depending on the policy pathway. Against current annual investment of approximately \$135 billion, the financing gap is not a technicality. It is the central challenge of India’s green transition,” said Dube.

There are three key issues fuelling the funding crisis—de-

veloped markets dominate global climate finance, even as developing countries bear the heaviest climate burden; international public finance to developing economies remains structurally limited, with multilateral development banks constrained by capital adequacy norms and risk aversion; and capital flows remain concentrated in a few large sectors like solar, wind and energy efficiency, which leaves other areas like climate adaption, biodiversity finance and urban infra